Five years later in 1971 the two countries fought another war, this time when India intervened in the Pakistani civil war that led to the creation of Bangladesh [formerly East Pakistan]. India's victory was decisive and led the two countries to sign the Simla Agreement in 1972, which transformed the ceasefire line into the Line of Control [commonly known as the LoC]. Pakistan's military was left weakened and, many Pakistani and Indians agree, humiliated by its decisive defeat and the loss of East Pakistan. One consequence was to reinforce the idea of using proxies in order to avoid directly engaging the Indian military. A second consequence was to leave Pakistan wanting revenge. The use of proxies later became not only a means of avoiding overt engagement with the Indian military, but also a tool to bleed India in retribution for the losses it had inflicted. However, in the short term the Civil War left Pakistan in a state of internal crisis and its military support to anti-India forces in Indian-administered Kashmir essentially ceased. A small number of indigenous actors kept the flame of liberation from being extinguished, prosecuting sporadic attacks.[12] Yet despite these activities, the number of people in Indian-administered Kashmir who reached for the gun or the bomb prior to 1989 was relatively low.

In 1987, the Muslim United Front, an umbrella party for Kashmiri Muslims seeking reform, was denied a victory in the State Legislative elections. These are considered to be the most compromised elections in Indian-administered Kashmir's history. Afterwards, an increasing number of Muslim men began crossing the LoC into Pakistan-administered Kashmir for weapons and military training. The Jammu and Kashmir Liberation Front [JKLF], which already existed on both sides of the LoC, became the vehicle through which the insurgency initially mobilized.[13] In late July 1988 two bombs exploded in Srinagar, the summer capital of Indian-administered Kashmir: the first at the Central Telegraph Office, followed by a second at the Srinagar Club. Kashmiri youth executed the explosions, but the planner was a JKLF militant from Pakistani Poonch who had infiltrated across the LoC.[14] The following year was marked by mass demonstrations and protests, and the Kashmir Valley soon witnessed a JKLF-led revolt against Indian rule. New Delhi embarked on a heavy-handed response, which essentially turned the link between India and the population of the Kashmir Valley into an 'occupier-occupied relationship' that persists to this day.[15] The Kashmir conflict had begun.